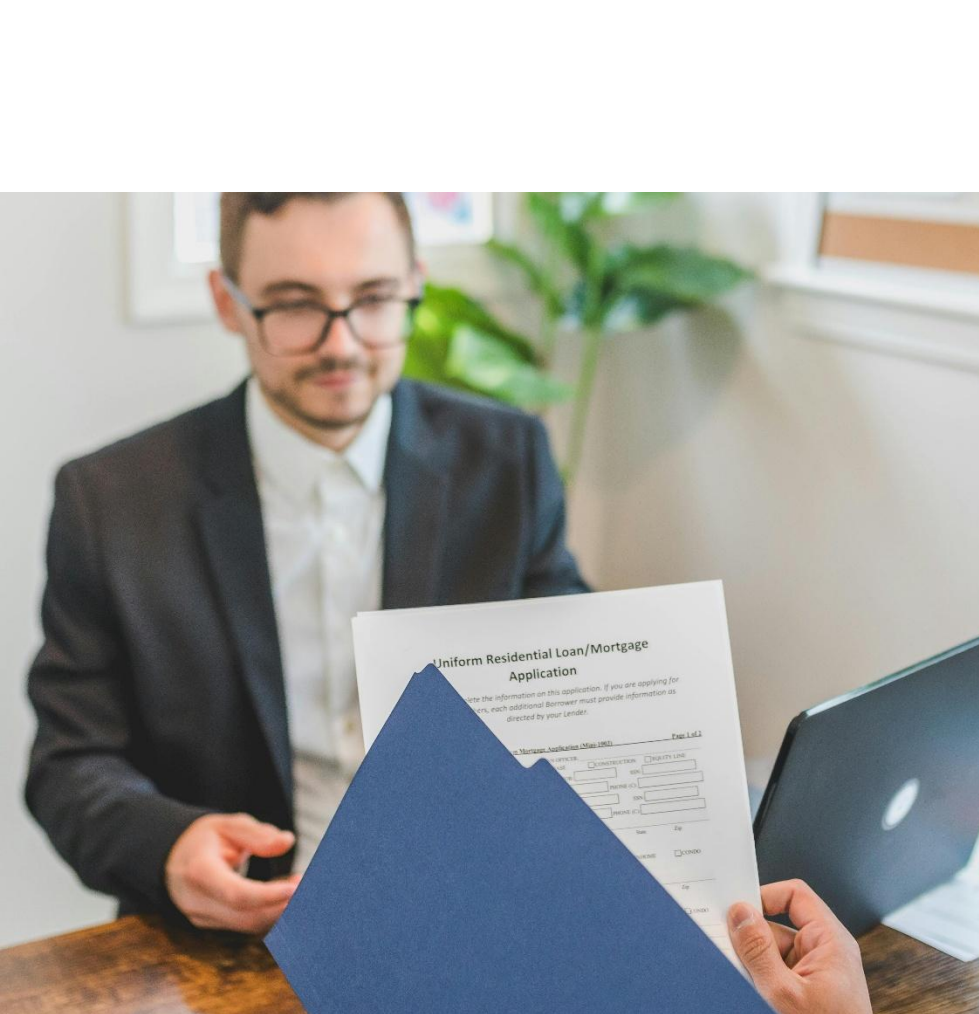


A man with glasses and a dark suit is standing behind a wooden desk. He is holding a blue folder and a white document titled 'Uniform Residential Loan/Mortgage Application'. The document has several sections with checkboxes and input fields. A laptop is visible on the desk to his right. The background is a blurred office setting with a plant and a window.

2025

As-Is and To-Be Process Improvement Project Loan Appointment Scheduling and Application Handling Kabaka Trust & Loan

Business Process Modeling Final Project

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1.0 Overview

Organization: *Kabaka Trust & Loan*

Process Name: *Loan Appointment Scheduling and Application Handling*

Roles

1. *Customer*
2. *Customer Service Representative*
3. *Loan Officer*

The current process is largely manual and heavily relies on customer service representatives to manage customers assigned to them during the pre-loan phase. This includes requesting documents, communicating with the borrower, and preparing the loan file for the loan officer. There is no centralized tracking system, and it depends on individual reminders and file management techniques. Additionally, the mortgage center is based in a separate location from the bank, and they use couriers to transport documentation.

1.1. As Is Process Description

The loan application process at Kabaka Trust and Loans begins when a customer contacts the company to request a loan. They can do this by walk-in, phone call, or sending an email. The Customer Service Representative (CSR) provides the customer with a list of required documents, including a valid ID, proof of address, proof of income, and a receipt for payment of a credit check. Once the customer submits the documents, the CSR schedules a pre-approval appointment based on the next available slot. If the customer is not able to make it at the selected date and time, they may request an alternative time, potentially causing a delay. Two days before the appointment, the CSR sends a reminder to the customer. During the meeting, the CSR will review the documents the customer submitted, discuss their financial needs, and perform a pre-approval assessment, evaluating factors such as the customer's debt-servicing ratio and other eligibility criteria. If the customer does not meet the minimum criteria, the CSR will inform them that they are not eligible, and the process will end. For customers who meet the minimum pre-approval criteria, the CSR prepares the loan file and sends it via an internal courier to the loan center. A courier-based system is used because the loan center is not located in the same office, and company policies dictate that certain documents included in a loan file must be original or signed as "original seen", which causes a one-day delay each time a file needs to be sent.

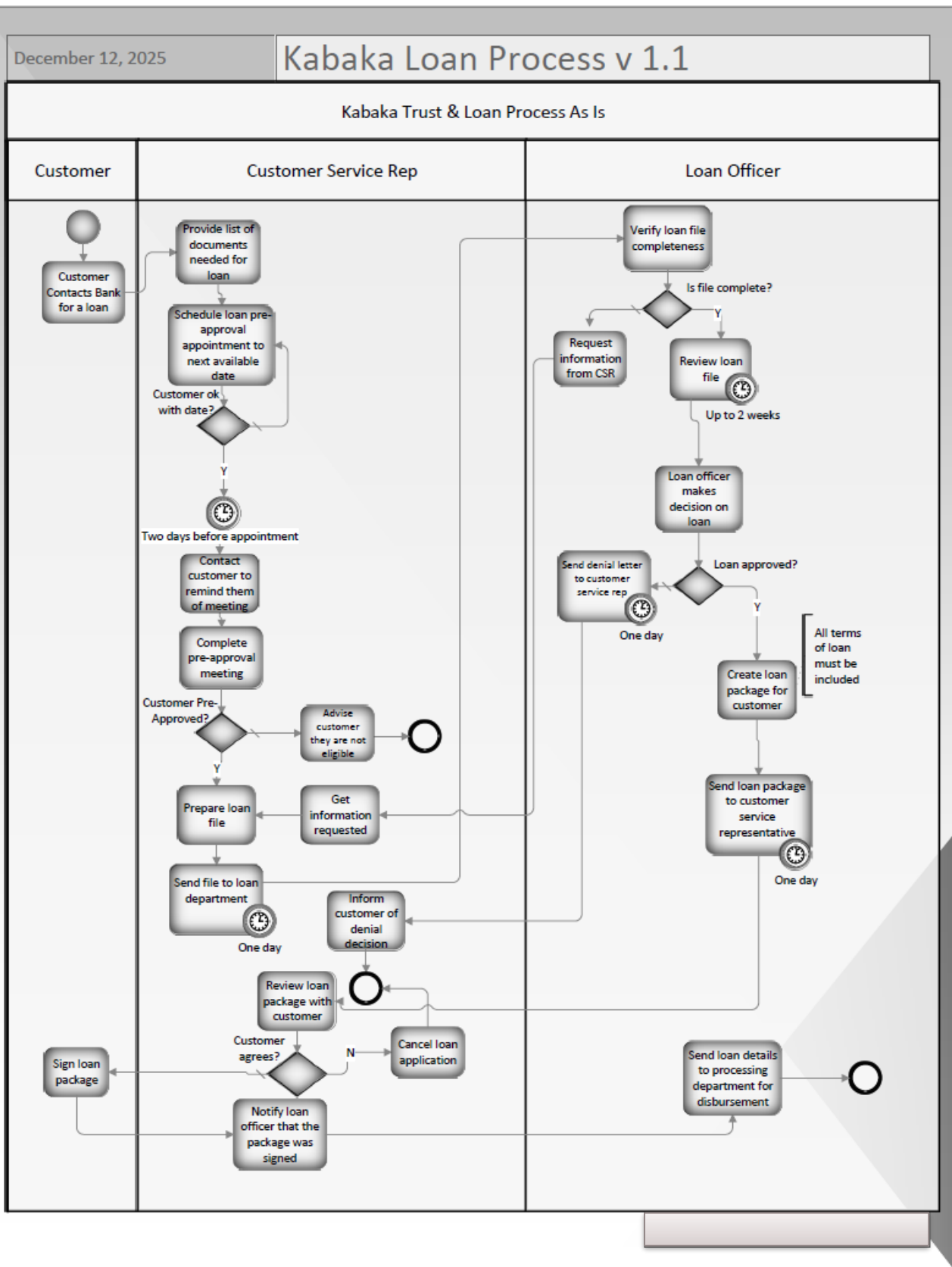
The loan officer then reviews the file, with review times varying depending on the loan's complexity, which can take up to two weeks. If the officer identifies missing information, they contact the CSR to obtain it. Once the review is complete, the loan officer makes a decision and communicates the details to the Customer Service Representative, who will contact the customer and inform them if they are approved or denied. If the loan is approved, the customer will be presented with a loan package including the loan amount, interest rate, repayment terms, loan term, collateral (if applicable), default provisions, fees, and the governing law. The customer will review, and if they agree, they must sign the loan just like they signed on the ID used to start the process. The Customer Service Representative will then be required to verify all signatures and documentation before forwarding the file to the loan officer, who will send it to the processing department for disbursement. If the customer does not agree to the terms in the loan package, they must decline it, as there is no negotiation procedure in place, ending the process. At any point where the loan is cancelled, the customer is notified, ensuring communication but highlighting potential delays between the CSR, the loan officer, and the customer. Overall, the process includes multiple delays due to scheduling, document verification, courier delivery, and variable review times, which indicates opportunities for process improvement.

1.2. Detailed Steps

1. The customer contacts the bank
2. CSR provides a list of required documents to the customer
3. CSR schedules a loan pre-approval appointment based on the next availability
4. If the customer agrees with the time, the process continues; otherwise, go back to the CSR schedule
5. CSR sends a reminder 2 days before the appointment
6. CSR and the customer meet and discuss needs
7. If the customer agrees, the preapproved process continues; otherwise, the CSR advises 'not eligible', and the process ends

8. CSR prepares the loan file
9. CSR sends the file to the loan office with an internal courier (1 Day)
10. If more information is needed, they reach out to the CSR to get the information and prepare the file again
11. The Loan Officer takes up to 2 weeks to review a loan
12. The loan officer makes a decision
13. Details of the loan are sent to the Customer to review
14. If the customer accepts the loan, they sign and process moves forward; otherwise, the loan is cancelled, and the process ends
15. The loan officer notifies the CSR of the decision and sends the file to processing for disbursement

1.3. As Is Visualization



1.4. *Supporting Information*

- **KPIs:** Key Performance Indicators related to the current process.
- **Pain Points:** Areas of inefficiency or problems in the current process.
- **Technology Used:** The software or tools used at each stage

1.4.1. *Key Performance Indicators (KPIs)*

1. **Appointment Scheduling Time:** This relates to how long it takes from the moment the customer contacts the company to the day they receive a confirmed appointment.
2. **Document Submission Time:** This tracks how long customers take to submit all required documents after the CSR gives them the list. Example: if the CSR provides the list on 10th July and the customer submits everything on 12th July, which takes two days.
3. **Pre-approval Processing Time:** It refers to the time the CSR needs to review the documents and meet customer to complete the pre-approval check.
4. **Courier Transfer Delay:** This records the one day added each time the loan file is moved from the CSR to the loan center. For instance, if the file leaves the CSR on 21st August, it will reach the loan officer on 22nd August, a full 1 day.
5. **Loan Review Time:** It indicates how long the loan officer takes to examine the file and make a decision. For example, if the file arrives on 22nd August and the review finishes on 5th September, that is fourteen days
6. **File Rework Rate:** This shows how often the loan officer requests missing or unclear information, causing another courier delay.
7. **Decision Turnaround Time:** The time between the loan officer completing the review and the CSR receiving the final approval or denial.

8. **Customer Drop-off Rate:** It shows how many customers may leave the process due to scheduling delays, missed appointments and long review times.
9. **Total Loan Completion Time:** This captures the full timeline from first contact to the moment the file is sent to the processing department for disbursement.

1.4.2. *Pain Points*

1. **Heavy manual work:** Most steps depend on the CSR doing everything by hand, including sending reminders, document checks, follow-ups, and file preparation. This increases the chance of delays and mistakes when staff get busy.
2. **No central tracking system:** The company does not have a shared platform to view application progress. Each CSR manages their own customers using personal notes, files, and reminders. This makes it hard to monitor workload or spot delays.
3. **Appointment delays:** Customers often wait several days for the next available appointment. If they decline the time offered, the process slows down even more because the schedule must be adjusted manually.
4. **Slow movement of documents:** Loan files must be transported by courier because the mortgage center is in a different location, and original documents must be handled physically. This adds a guaranteed one-day delay each time a file is sent.
5. **Long review times:** Loan officers can take up to two weeks to complete their assessments. During that period, files often sit waiting because the officer is handling many cases at once.
6. **Rework caused by missing information:** If the loan officer discovers that documents are missing or incomplete, they must request them from the CSR. The CSR collects the missing items and sends the file again through the courier, adding another day.

7. **Communication gaps:** Updates move in a chain from the loan officer to the CSR to the customer. This creates room for slow updates, missed messages, and back-and-forth delays, especially when information needs clarification.

8. **Customer drop-offs due to delays:** Some customers lose interest or stop responding when the process takes too long, especially during scheduling or after long review periods.

1.4.3. *Technology Used*

1. **Phone and email communication:** Customers contact the company through walk-ins, phone calls, or email. CSRs also use phone and email to give instructions, send reminders, and follow up on missing documents.
2. **Basic scheduling tools:** CSRs rely on simple calendars or scheduling software to book appointments and track availability. This is not integrated with any workflow system.
3. **Manual document management:** Documents are collected in physical form or as email attachments. CSRs print, file, and prepare the physical loan package for courier transfer.
4. **Courier system for file transport:** The company uses internal couriers to deliver original loan files to the loan center. Every transfer adds exactly one business day to the process.
5. **Email communication between CSR and loan officer:** Loan officers request missing documents and clarify details through email or phone calls since there is no shared platform for file updates.
6. **Paper-based loan signing:** Final loan documents are signed physically, and the CSR must verify all signatures manually before the file moves to the loan officer and then to the processing team.

2.0. *To Be Process Description*

The "To Be" process focuses on digital transformation to centralize data, eliminate physical document movement, automate manual tasks, and reduce processing times.

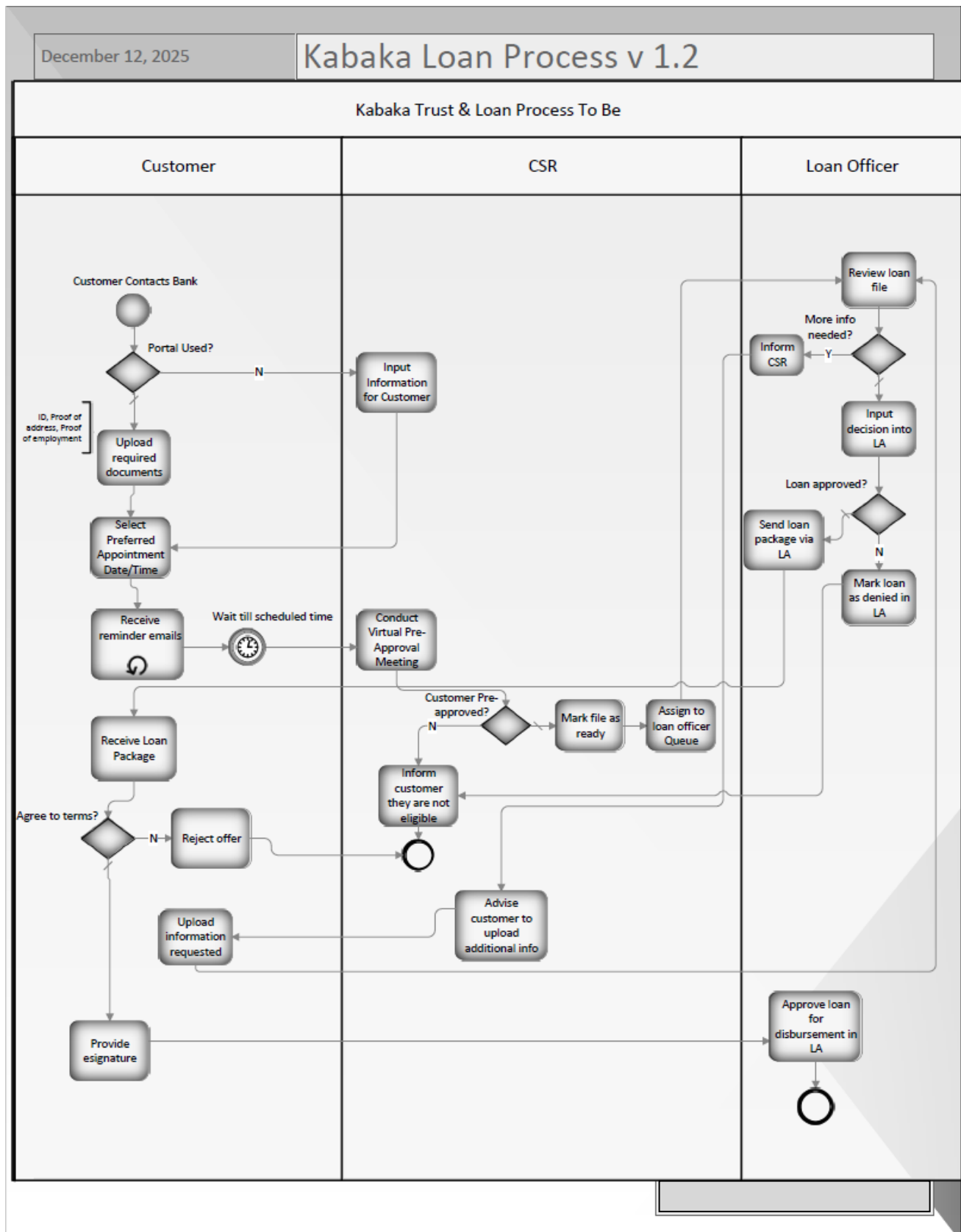
The process uses the Loan Application link via online Customer Portal to achieve digitalization. The process reduces effort, communication gaps, and physical transfer delays. This updated process speeds up the work.

2.1 To Be Process Description

The process starts when the customer contacts customer service by phone, email, or using the online customer portal to start the loan application process. If not done on the portal, the CSR would input the information into the system for the customer. After this, the customer uploads the required documents, such as customer ID, proof of address, and employment letter, to the portal. The Loan Application System (LA) screens the files for completeness. Once complete, the system then automatically checks CSR/loan officer availability, sends the customer the available appointment slots, and lets the customer select their preferred available slot. After this, the LA sends confirmation and reminder emails and SMS to the customer. After this, the CSR will conduct the pre-approval meeting via a secure video link. CSR will view the digital file in LA. The CSR uses the pre-set rules in the LA to calculate the debt-servicing ratio away and to do a structured eligibility check.

If the customer is pre-approved, the CSR marks the file as ready in the LA and assigns the file to the loan officer queue. If the customer is not pre-approved, the system displays no need to prepare a file, and the CSR will update the customer that they are not pre-approved, and the process ends. Once a loan officer is assigned, which only takes the system a few minutes, the Loan Officer (LO) reviews the file. If there is missing information, the loan officer (LO) creates a task in the LA for the CSR and for the customer. When the review is finished, the LO writes the decision into the LA. The system sends an automated message to the customer with the decision of the LO. If approved, the customer receives the loan package through the Online Portal for digital review and e-signature. If the customer agrees with the terms of the package, they must sign using the e-signature feature. Upon receiving an e-signature, the loan officer clicks "Approve for Disbursement" in the LA, and the system sends the digital file to the financial department for disbursement, and the process ends. If the decision is to deny the loan, the LO must notify the CSR who informs the customer, and the process ends.

2.2 To Be Process Visualization



2.3. Recommendations/KPIs for the above TO BE process

1. **Appointment Scheduling Time:** In real time, the system displays availability, and customers can book immediately.
2. **The time for document submission can vary:** The submission is centralized, and the system tracks the submission. Improved tracking enables the CSR to receive alerts for both complete and incomplete statuses.
3. **Pre-approval Processing Time:** Reduced by 50% or more. The rule engine standardizes and speeds up the assessment process. Faster screening and automated calculation of eligibility criteria.
4. **Courier Transfer Delay Eliminated:** The file is transferred digitally and instantly within the LA link. Digital files are accessible by all parties.
5. **Loan Review Time:** Loan officers get the files right away. No waiting for the courier. Faster decisions let the LO focus on underwriting, not on logistics.
6. **File Rework Rate:** The system checks the completeness when the file is uploaded. The file rework rate triggers a request for rework. The File Rework Rate also requests any missing documents directly via the portal/LA task.
7. **Decision Turnaround Time:** The system records the decision in LA. The decision triggers an automated customer notification. The notification arrives instantly, and communication is direct.
8. **Customer Drop-off Rate:** The transparency, the speed, and the real-time updates keep the customers engaged. The customer drop-off rate also decreases with experience, self-service, and fast processing.
9. **Total Loan Completion Time:** Days reduced to only the time required for LO review and pre-approval. Extreme reduction and automation remove all logistical delays.

2.4. *Technology Improvement*

1. **LA/Portal: Provides** immediate access to a personalized document checklist.
2. **Integrated Scheduling Tool:** Eliminates manual back-and-forth and instantly confirms the appointment time.
3. **Online customer portal with a document verification module:** reduces document submission time and eliminates the need for physical handling.
4. **LA automation:** Eliminates manual reminders, reducing staff workload.
5. **LA/video integration:** All data is in one place; documents are reviewed digitally.
6. **LA rule engine:** Significantly reduces pre-approval processing time by standardizing the assessment.
7. **LA centralized file:** Eliminates courier transfer delay completely, as the file is digital.
8. **LA Workflow Management:** Ensures faster assignment and visibility of all files, reducing loan review time.
9. **LA task management & direct customer communication:** Eliminates the courier delay for rework. Reduces file rework rate by making missing requirements immediately transparent.
10. **LA integration:** Reduces decision turnaround time to minutes, not hours/days.
11. **Secure portal & e-signature:** Eliminates the need for physical signatures and manual verification.
12. **LA automation eliminates delays:** LA automation eliminates manual signature verification delays.
13. **LA Integration with Core Banking System:** Instantly triggers the disbursement process, completing the Total Loan Completion Time.

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Appendix

Abbreviations:

1. LO- Loan Officer
2. CSR- Customer Service Representative
3. LA– Loan Application System
4. KPI- Key Performance Indicators